

just as powerfully, it might grow into a new mindset, a sense of control, curiosity, or calm around money.

That's a win no matter what.

As cheesy as it might sound, think of it like a forest. Right now, you've got the seed. Not every seed becomes a forest, but every forest starts with one seed.

So, let's make sure you plant yours the smart way.

Beginner traps to avoid

Yes, you might be keen to rush outside and throw that seed into the nearest patch of dirt and hope for the best. But like most things in life, a little bit of planning, some basic knowledge, and knowing what *not* to do can go a long way in helping that seed grow into something strong.

Before we dive into what you *should* do with your first \$1000, let's quickly talk about a few things you *don't* want to do. In the last chapter we went through some of the most common mistakes investors make. Here we'll zoom in on a few extra traps that can catch people out right at the starting line. These are common missteps that many beginners fall into, often against the best of intentions. This isn't to scare you or make you second-guess yourself. It's simply to help you start with your eyes open. As we work through the chapter, more of this will make sense, but for now, here's a high-level look at some of the big ones:

- **Only picking individual shares/stocks.**

Trying to pick the next winning company can feel exciting, especially when you hear stories of people making big money overnight. But stock-picking is risky, and even professional investors get it wrong more often than they get it right. You might get lucky, but it's often not a reliable way to build long-term wealth.

- **Timing the market.**

This is the idea that you can predict when the market will go up or down and buy or sell at just the right time. Sounds great in theory, but in reality, no one, not even the experts, get this right consistently.